

IN THE COURT OF APPEAL (CIVIL DIVISION)

Case No: CA-2022-002088

B E T W E E N:

HMRC V DOLPHIN DRILLING LTD

RESPONDENT'S CASE

Counsel: Nicola Shaw KC (instructed by Ernst & Young LLP)

SUMMARY OF POSITION

1. The Respondent contends that the Borgsten Dolphin should not be classified as a 'relevant asset' under Part 8ZA as any accommodation provided was ancillary to its primary TSV functions and constitutes incidental use within the statutory framework.

FACTS RELIED ON

2. Dolphin leased the Borgsten Dolphin and supplied it to Total E&P; UK for the Dunbar platform.
3. The Borgsten provided tender■assisted drilling (TAD) and related TSV services.
4. Sleeping accommodation was provided for Total personnel (initially around 40 berths, later increased).
5. The relevant accounting periods were calendar years 2014 and 2015; Part 8ZA CTA 2010 applied with effect from 1 April 2014.

CONTENTIONS / GROUNDS OF APPEAL

6. The Borgsten's primary function was as a template support vessel (TSV) providing tender■assisted drilling and related services to the Dunbar platform; accommodation was ancillary to those services.
7. Any accommodation provided to Total personnel (initially 40 berths, later increased) was functionally connected to the TSV operations and thus no more than incidental within s.356LA(3).
8. On a proper construction of Part 8ZA, the asset should not be classified as a 'relevant asset' merely because it could provide accommodation; the legislative target was accommodation vessels and drilling rigs, not TSVs performing multi■purpose support tasks.
9. The First■tier Tribunal's factual evaluation should be respected and was correctly upheld by the Upper Tribunal.

LEGAL BASIS

10. The Respondent relies upon the following legal provisions:

- Corporation Tax Act 2010, Part 8ZA (Oil Contractors), including ss. 356K (overview), 356L (definitions), 356LA (relevant asset), 356M.
- Finance Act 2014, s.73 and Schedule 16 (inserting Part 8ZA into CTA 2010).

RELIEF SOUGHT

11. The Respondent respectfully requests that this Honourable Court:

- (a) Dismiss the appeal and uphold the Upper Tribunal's decision.
- (b) Declare that the Borgsten is not a 'relevant asset' in the relevant periods because accommodation use was no more than incidental to its TSV functions.

AUTHORITIES CITED

- *Robson v Dixon (Pennycuik V-C) [1972] 1 WLR 1493*
- *Proctor & Gamble UK v HMRC [2009] EWCA Civ 407*

CHRONOLOGY OF EVENTS

Date	Event
1 August 2011	Total invited tenders for TAD and accommodation services for the Dunbar project.
10 November 2011	Dolphin awarded Letter of Intent indicating intention to engage the Borgsten as a TSV with accommodation services for the Dunbar project.
1 February 2012	Contract signed between Total and Dolphin; accommodation initially specified for 40 Total personnel.
1 October 2012	Commencement of services under the contract (per case narrative).
1 April 2014	Part 8ZA of the CTA 2010 treated as coming into force.
1 October 2014	Start of relevant accounting period for 2014.
31 December 2014	End of 2014 accounting period.
1 January 2015	Start of 2015 accounting period.
31 December 2015	End of 2015 accounting period.

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